THE NATIONAL COMPANY LAW TRIBUNAL
NEW DELHI BENCH-IV
CP. (CAA)-91/ND/2020

IN THE MATTER OF SCHEME OF AMALGAMATION

BETWEEN

M/s Bioseeds Limited

...Transferor Company/Non-Petitioner

WITH

M/s Shriram Bioseed Ventures Limited

...Transferee Company/Petitioner Company

SECTION 230-232 OF THE COMPANIES ACT, 2013

Order Delivered on: 29.03.2022

Coram:

SH. DHARMINDER SINGH, HON'BLE MEMBER (J)

MS. SUMITA PURKAYASTHA, HON'BLE MEMBER (T)

ORDER

PER- SHRI DHARMINDER SINGH, MEMBER- JUDICIAL

1. This petition has been filed by the Petitioner Company under Sections 230 and 232 of the Companies Act, 2013 read with the Company (Compromises, Arrangements and Amalgamations) Rules, 2016 and the National Company Law Tribunal Rules, 2016, for the purpose of approving the Scheme of Amalgamation, as contemplated between the Transferor Company with Transferee Company.

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2. It is represented that the registered office of the Transferee Company lies within the jurisdiction of this Tribunal.

3. A perusal of the petition discloses that the first motion application bearing C.A. No. (CAA)59/ND/2020 was filed by the Petitioner. Base on the averments made in the said application the Tribunal vide order dated 26.11.2020 dispensed the meetings of the equity shareholders, secured creditors and unsecured creditors of the applicant/transferee company.

4. The petitioner company was directed to issue public notices and individual notices to the Regional Director, Official Liquidator and the Income Tax Department. An affidavit dated 11.02.2021 filed by the petitioner company affirming that the petitioner has effected publication in the English daily newspapers "Business Standard" Delhi edition and "Jansatta" Delhi edition both on 29.01.2021 inviting objections if any to the proposed Scheme of Amalgamation. The affidavit further discloses that due notice of the proposed scheme had been served on the Registrar of Companies, Regional Director, Northern Region, Income Tax Dept. and the Official Liquidator in compliance with the order of the Tribunal.

5. Pursuant to the Publication in the daily newspapers, for listing of the matter before this Bench, no objector has appeared before us.

6. The replies of the Regional Director, NR, MCA, Report of Official Liquidator as well as the response of the IT Dept. have been filed. The Regional Director in its report submitted that a query letter was issued on 11.02.2021 to

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which reply was received on 26.02.2021 and in terms of RoC report dated 26.02.2021 the following observations were made:

- The transferor company is a foreign company having registered office at Mauritius. Hence the company requires obtaining separate order for allowing amalgamation from the courts of Mauritius. The RoC sought clarification with respect to the order as no such order was attached with the petition.
- The transferor company has not enclosed prior RBI approval in terms of Rules 25A of the Companies (Compromises, Arrangements and Amalgamations) Amendment Rules, 2017 which is related to amalgamation of foreign company with Indian company.
- Further, it was noticed that as per Rule 9(2) of Foreign Exchange Management (Cross-Border Mergers) Regulations, 2018 the certificate has not been signed by managing director/whole-time director/company secretary. As, the certificate in the form of affidavit has been signed by Mr. Sameet Gambhir. Hence, the company may be directed to furnish the certificate of compliance duly signed by the managing director/whole-time director/company secretary.

Thereafter, the petitioner company has submitted an affidavit clarifying the aforementioned observations of the Regional Director. It is submitted that para 4 scheduled XIV OF Mauritius Companies Act, 2001 clearly provides

that laws under the jurisdiction of the surviving company shall govern the merger and consolidation. And, also in view of the same the transferee company/petitioner company has duly undertaken to comply with the compliance under the FEMA Regulations or any other applicable law post approval of the present scheme and the same is been stated in the Para 22, page 47 of the petition. The petitioner further stated that the present scheme of Inbound merger abides with the compliances provided under the Foreign Exchange Management (cross border merger) Regulations, 2018 and the same comes under the purview of automatic approval route of RBI and shall be considered to have deemed approval of RBI under Regulation 9 of the said Regulation. In this respect the transferee company has submitted NOC received from the RBI vide e-mail dated 22.12.2021.

In view of the clarification made by the petitioner company, the observations raised by the Regional Director have been satisfied.

7. In the same affidavit the petitioner has filed letter of the Income Tax Department showing that the Department has no objection for approval of Scheme. Be that as it may, in order to protect the interest of revenue, it is to be made clear that there shall be no impediment on the power and jurisdiction of the Income Tax Department in recovery of pending Income Tax dues, penalties etc., if any, as provided in the law.
8. The certificate of the statutory auditor of the petitioner company, certifying that the Accounting Treatment in the Scheme is in conformity with the Accounting Standards in terms of Section 133 of the Companies Act 2013,

is on record. The Audited Financial Statements for the year 31.03.2020 of the petitioner company have been filed.

9. We have heard the counsels for the petitioners and also considered the representation made by the Regional Director, Northern Region. In the reply filed by the Regional Director (NR), it has been confirmed that the petitioner company is regular in filing their statutory returns. No prosecution has been filed, no complaints are pending and no inspection or investigation has been conducted in respect of the applicant companies.

10. In view of the foregoing, upon considering the approval accorded by the members and creditors of all companies to the proposed Scheme, and no objections being raised by the office of the Regional Director or the Income Tax Dept., there appears to be no impediment in granting sanction to the Scheme.

11. Consequently, the sanction is hereby granted to the Scheme under sections 230-232 of the Companies Act, 2013. The sanctioned Scheme of amalgamation shall be binding petitioner company and on all their respective shareholders and creditors.

12. The Petitioner shall also be bound to comply with the statutory requirements in accordance with law. Notwithstanding the above, if there is any deficiency found or, violation committed qua any enactment, statutory rule or regulation, the sanction granted by this court to the scheme will not come in the way of action being taken, albeit, in accordance with law,

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against the concerned persons, directors and officials of both the petitioner companies.

13. While approving the Scheme as above, we further clarify that this order should not be construed as an order in any way granting exemption from payment of stamp duty, Statutory dues or any other charges, if any, and payment in accordance with law or in respect to any permission/ compliance with any other requirement which may be specifically required under any law.

14. This tribunal further order that upon scheme of Amalgamation by way of Merger coming into effect;

- The entire business, properties and assets of the Transferor company, be transferred without further act or deed to the Transferee company and accordingly the same shall, pursuant to section 232 of the Act, be transferred to and vest in the Transferee company, but subject nevertheless to all charges now affecting the same;
- That all the assets and liabilities including Income Tax and all other Statutory dues, if any, of the Transferor companies, be transferred without further act or deed to the Transferee company and accordingly the same shall pursuant to section 232 of the Act, be transferred to and become the liability and duty of the transferee company;

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- All employees of the Transferor Company in service on the effective date shall become the employees of the Transferee Company on and from such date without any break or interruption in service and upon terms and conditions not less favorable than that subsidies with the Transferor Company on that date.
- That all proceedings now pending by or against the transferor company, be continued by or against the transferee company;

15. The petitioners shall within thirty days of the date of the receipt of this order cause a certified copy of this order to be delivered to the Registrar of Companies for registration and on such certified copy being so delivered, the Registrar of Companies shall place all documents relating to the transferor company and registered with them and shall consolidate the files of the companies, is accordingly duly approved and sanctioned in terms of the above.

16. Any person interested shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary.

The petition stands disposed of in the above terms.

Let copy of the order be served to the parties.

-Sd-

(SUMITA PURKAYASTHA)

MEMBER (T)

-Sd-

(DHARMINDER SINGH)

MEMBER (J)